

It has felt to me like the market was ready to come down for some time. Even though I held that view, I have tried to maintain some level of discipline, recognizing the market was quite strong. I was still net short every day, but until this month by only about 5 to 10 million. That is the type of number that I can manage to not get hurt by too much even if the market is up 1 percent or 2 percent for the day.

But you are more heavily short now?

Yes, coming in to today, I was 15-million long and 41-million short. I got a lot bigger on Friday afternoon.

For almost any other trader, that would sound like a strange statement. To put it into context, last Friday was a day after a long string of days in which the market was up almost every day, with no corrections along the way. The close was near the high of the week, the high of the month, and for that matter, the highest level in recent years.

Something was happening last week that seemed different from the rally before then. The market had been grinding steadily higher, but the fact that it was so easy for the market to go up last week, let me know that something was up. Thursday, the market rallied sharply after being weak in the morning. Then Friday, the market got really strong again near the close. The market was moving up like there was no supply. Coming on top of the large gains we had in the past four months, I thought, *Now, the market is getting stronger? Now?* [He says this emphasizing the repeated “now” in a tone of incredulity at the sheer preposterousness of this price action—a tone that communicates, “Give me a break,” without saying the words.] The move felt fluffy to me, and I honor all the senses I get. It just seemed like a logical place for me to get more short. I try to formulate my own ideas by listening to what the market is saying. Sentiment is one of my big clues as to what is happening.

How do you judge sentiment?

There are lots of different ways to gauge it. I watch TV. I read the paper. I listen to what people at the firm are saying. People are afraid to short. “I’m not shorting any more stock; I’m tired of losing money.” I heard that last week.